



**Bamburi**  
cement Ltd

**CORPORATE OFFICE**

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24 August 2017

The Chief Executive Officer  
Nairobi Securities Exchange  
The Exchange  
55 Westlands Road  
**NAIROBI**

Fax No: 2224200

Dear Sir

**BAMBURI CEMENT LIMITED UNAUDITED GROUP RESULTS FOR THE  
SIX MONTH PERIOD ENDED 30 JUNE 2017**

Please find enclosed herewith a copy of the Company's half year results that were announced by the Board of Directors of the Company at a board meeting held earlier today.

Kindly take note of the changes in directorship, contained therein.

Yours faithfully,

B Kanyagia  
**COMPANY SECRETARY**

Encls.

The Directors of Bamburi Cement Limited are pleased to announce the unaudited Group results for the six months ending 30 June 2017

| Condensed statement of comprehensive income | 2017<br>June        | 2016<br>June        |
|---------------------------------------------|---------------------|---------------------|
|                                             | KES Million         | KES Million         |
| <b>Turnover</b>                             | <b>17,535</b>       | <b>19,111</b>       |
| Operating costs                             | (14,879)            | (14,962)            |
| <b>Operating profit</b>                     | <b><u>2,656</u></b> | <b><u>4,149</u></b> |
| Investment income                           | 97                  | 218                 |
| Other gains and losses                      | (53)                | (77)                |
| Finance costs                               | (28)                | (18)                |
| <b>Profit before tax</b>                    | <b><u>2,672</u></b> | <b><u>4,272</u></b> |
| Taxation                                    | (824)               | (1,373)             |
| <b>Profit for the Period</b>                | <b><u>1,848</u></b> | <b><u>2,899</u></b> |
| EPS - KES per Share*                        | <u>4.39</u>         | <u>7.15</u>         |

\*EPS calculated on profit after tax attributable to shareholders of the parent and based on average number of shares

| Condensed Statement of Financial Position           | 2017<br>June         | 2016<br>December     |
|-----------------------------------------------------|----------------------|----------------------|
|                                                     | KES Million          | KES Million          |
| <b>Assets</b>                                       |                      |                      |
| <b>Non-current assets</b>                           |                      |                      |
| Property, plant & equipment and intangibles         | 21,797               | 21,316               |
| Other equity investments                            | 359                  | 278                  |
| Goodwill                                            | 217                  | 217                  |
|                                                     | <b><u>22,373</u></b> | <b><u>21,811</u></b> |
| <b>Working capital</b>                              |                      |                      |
| Current assets                                      | 12,143               | 11,860               |
| Current liabilities                                 | (6,201)              | (6,872)              |
|                                                     | <b><u>5,942</u></b>  | <b><u>4,988</u></b>  |
| Dividend Payable                                    | (2,183)              | (6)                  |
| <b>Cash and bank balances</b>                       | <b><u>7,405</u></b>  | <b><u>6,972</u></b>  |
|                                                     | <b><u>33,537</u></b> | <b><u>33,765</u></b> |
| <b>Capital and reserves</b>                         |                      |                      |
| Share capital                                       | 1,815                | 1,815                |
| Reserves                                            | 24,342               | 24,590               |
| <b>Equity attributable to owners of the Company</b> | <b><u>26,157</u></b> | <b><u>26,405</u></b> |
| Non-controlling interests                           | 3,666                | 3,414                |
| Non current liabilities                             | <u>3,714</u>         | <u>3,946</u>         |
|                                                     | <b><u>33,537</u></b> | <b><u>33,765</u></b> |

| Condensed statement of changes in equity | 2017<br>June         | 2016<br>December     |
|------------------------------------------|----------------------|----------------------|
|                                          | KES Million          | KES Million          |
| Share Capital                            | 1,815                | 1,815                |
| Revaluation reserve                      | 7,033                | 7,163                |
| Fair value                               | 156                  | 75                   |
| Translation reserves                     | (2,713)              | (1,796)              |
| Retained Earnings                        | 19,866               | 19,148               |
| Non-controlling interests                | <u>3,666</u>         | <u>3,414</u>         |
| <b>At end of the period</b>              | <b><u>29,823</u></b> | <b><u>29,819</u></b> |

| Condensed Statement of Cash Flows                   | 2017<br>June        | 2016<br>June         |
|-----------------------------------------------------|---------------------|----------------------|
|                                                     | KES Million         | KES Million          |
| <b>Cash generated from operations</b>               | <b>2,275</b>        | <b>4,101</b>         |
| Interest received                                   | 88                  | 206                  |
| Interest paid                                       | -                   | -                    |
| Net foreign exchange gains                          | 53                  | (27)                 |
| Tax paid                                            | <u>(1,189)</u>      | <u>(2,010)</u>       |
| <b>Net cash generated from operating activities</b> | <b>1,227</b>        | <b>2,270</b>         |
| Net cash used in investing activities               | (841)               | (86)                 |
| Net cash used in financing activities               | -                   | <u>(151)</u>         |
| <b>Net increase in cash &amp; cash equivalents</b>  | <b>386</b>          | <b>2,033</b>         |
| At beginning of the year                            | 6,972               | 8,453                |
| Translation loss                                    | <u>47</u>           | <u>(30)</u>          |
| <b>At end of the period</b>                         | <b><u>7,405</u></b> | <b><u>10,456</u></b> |

**Explanatory notes:** These condensed consolidated interim financial statements have been prepared in accordance with IAS 34 Interim Financial Reporting. The financial statements do not include all of the information required for full annual statements, and should be read in conjunction with the consolidated annual financial statements of the Group for the year ended 31 December 2016.

## HIGHLIGHTS

The business in Kenya experienced a difficult business environment characterised by a contracting market, low private sector investment resulting in slump in construction activity especially in the individual home builder segment, delays in some infrastructure projects, and drought conditions. In contrast, the business in Uganda enjoyed good market conditions in both domestic and export markets with Hima recording good performance.

As a result, the Group turnover at KES 17.5 billion was KES 1.6 billion behind prior year.

Operating profit reduced from KES 4.1 billion to KES 2.7 billion due to lower revenues, higher coal prices driven by increased world coal prices and higher power costs following drought conditions in Kenya.



Profit before tax declined to KES 2.7 billion from KES 4.3 billion due to lower operating profit, impact of lower cash deposits at lower interest rates and lower foreign exchange gains.

Cash decreased to KES 7.4 billion due to payments for the capacity expansion in both Kenya and Uganda together with lower cash from operations.

## **CAPACITY EXPANSION PROGRESS**

Phase 1 of the capacity expansion project in both Kenya and Uganda that will see the Group's cement grinding capacity increase by 1.8 million tons is on course and commissioning of both projects scheduled for the mid 2018. Studies on Phase 2 of the expansion are at an advance stage.

These actions will solidify the Group's position as the lowest cost producer in the region.

## **2017 OUTLOOK**

The Kenyan market is expected to rebound in the last quarter while the Ugandan market is expected to continue performing well in line with the projected growth in both the domestic and regional markets.

The Group is well positioned strategically given its strong cash position, strong human capital and diversified brand portfolio. It will remain focused on execution of its route to market and cost mastery initiatives, enhancing the customer experience by providing innovative solutions while creating value to all its stakeholders in the medium to long term.

## **DIVIDEND**

The Board of Directors recommends payment of an interim dividend of KES 2.50/= per ordinary share (KES 6.00/= per ordinary share paid in 2016).

## **CLOSURE OF SHARE REGISTER**

The interim dividend is proposed to be paid on or about 27 October 2017 to members on the register at close of business on 22 September 2017. Accordingly, the register of members will close at 4.30 pm on 22 September 2017 and will remain closed up to 25 September 2017.

By Order of the Board,

**Bruno Pescheux**  
**Group Managing Director**  
**24 August 2017**